



LACK OF STORAGE FACILITIES IS NOT THE ONLY PROBLEM DOGGING THE SECTOR

“About 40 per cent of farm produce is wasted due to inappropriate storage and lack of primary processing facilities.”

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“In India, as important an infrastructure as a cold chain is not seen as priority lending by banks.”

AMIT MITRA
SECRETARY-GENERAL, FICCI

chain has been a priority for the government since 2004, a country of the size of India has just 21.7 mt of cold storage facilities operational. It needs at least nine-10 mt more of capacity. “The cold chain is not even seen as priority lending by banks,” says Amit Mitra, secretary-general, FICCI. The government’s seriousness about Vision 2015 targets to ramp up the processing level of perishable goods from 6 to 20 per cent and increase in value addition from the present 20 to 34 per cent is suspect. Of the planned 30 mega food parks housing advanced storage facilities, only five have been given the go-ahead with only locations being identified.

The farmer needs good remuneration for the produce which is only possible if his perishable goods reach the market in good condition. But logistics and transport have remained neglected. Take the “farmer friendly” Warehousing Development and Regulation Bill, 2007. It was supposed to encourage companies to provide warehousing facilities by facilitating larger private investment but inability to sort out delays in land acquisition is keeping back establishment of modern warehouses. The government also needs

to remove regulatory hurdles like the prevailing Essential Commodities Act which hinders transportation of a range of specified products across their respective state borders. This is increasing the logistics costs of small-scale players, many of whom can’t afford to set up their own cold storages. Core to the brand value and retailing, the last but most important link in the farm-to-fork chain is the issue of food standards and safety. But though the committee on agriculture cleared the Food Safety and Standards Act way back in 2006, it is yet to be implemented. Also, by limiting FDI policy in retail to single-brand product retailing, the government has kept out big money which can help develop retail infrastructure.

Best practice retailers globally have implemented techniques like milk runs—having continuous orders to suppliers as the inventory depletes and doing multiple small lot shipments from suppliers to stores. But India is still miles away from such reforms. Clearly, a lot needs to be done to move up the value chain in food processing. The onus is on the government to clear the policy hurdles. Indian consumers, who spend Rs 4,60,000 crore annually on processed foods, cannot wait for that to happen. ■